wrong. "Limited partners (LPs, who arrange and invest capital for a fund) are getting wary," says an investor in start-ups. "When the valuation falls from $1 billion to zero, it's just not acceptable. The whole incident was an eye-opener." Zilingo's fall became all the more drastic since its investors included high profile venture capital funds such as Sequoia Capital of the US and Temasek Holdings of Singapore. The company was valued at $970 million (Rs 7,529 crore) in 2019 when it raised $226 million (Rs 1,754 crore) from these PE firms.

It is not just the frauds that are foxing investors. In general, several start-ups tend to spend recklessly on promotions, hiring and compensation and on physical infrastructure, all of which bleed them heavily. In a highly competitive space, it becomes imperative to hire the best talent, and spend top dollars doing so. However, in some start-ups, the spending beat all logic. For instance, some edtech companies were offering up to 200 per cent higher salaries to poach talent from competitors, say sources. For these firms, educators were in high demand. However, rather than gauge the skills of recruits, they sometimes went by the social media presence of these educators or how many followers they had to determine whether they were worth the money. "There was too much frothing and overvaluation among start-ups," says Choksey. "Most companies were on a path of hyper growth and were burning a lot of money." These firms hired a lot of people thinking the funds would keep coming. But now reality has struck.

A similar concern was the high valuation of some of the start-ups, which did not match their financial performance. Data from Entrackr (which tracks start-ups) says that of India's 100 unicorns, only 18 attained profitability in 2020-21, while 57 are deep in losses. The remaining 25, mostly registered in the US or Singapore, have not revealed their revenue, loss or profit figures, it said. According to Entrackr, the top five profitable unicorns are Zoho, InfoEdge, Zerodha, Five Star and Dream11 with Rs 1,917 crore, Rs 1,409 crore, Rs 1,122 crore, Rs 359 crore and Rs 327 crore in profits during 2020-21, respectively. In fact, when start-ups like Zomato, Nykaa and Paytm got listed on the exchanges, their share prices reflected the concerns investors had. Paytm has suffered the most, with its share price down to one-third of its issue price.

FACING THE HEAT

Why start-ups are in trouble



Easing of the pandemic and reopening of offices and schools is creating a bigger demand for physical classes, shopping and eating out. This has dented the demand for online retail, food and education businesses



Uncertainty about Russia's war on Ukraine has stoked inflation and raised interest rates, making capital expensive. Investors are back in the driver's seat, but are cautious and asking tough questions, sometimes shunning risky investments



Investors are keen to do more due diligence before they decide to fund start-ups. This helps them study the business models of the start-ups and their path to profitability better, as well as gauge the integrity of the promoters and the organisation's culture



Huge "burn" in start-ups as some of them spent recklessly on promotions, hiring and compensation and on physical infrastructure, all of which bled them heavily. But now reality has struck and they have to take action by axing their staff



High valuation of many of the start-ups did not match their financial performance. Of the 100 unicorns in India, only 18 attained profitability in 2020-21, while 57 are deep in losses, says Entrackr. Some like Paytm have seen a big slide in share prices since listing on the bourses

THE WAY FORWARD

How long will the pain last and how can start-ups navigate these troubled waters? Sasha Mirchandani, MD and founder of Kae Capital, an investor in start-ups, says this is a temporary phase. "The start-up story will play out for the next 20 years," he says. "When valuations of some firms ran up the way they have, a correction was inevitable." According to him, the most prudent thing to do at this stage is cut costs. Meanwhile, companies that are well run, have a convincing business model and can show a clear path to profitability will continue to get funds. "Start-ups need to convince investors that they are not another sink-hole," he adds.

Others say the whole process is cyclical in nature, that investors will be cautious for awhile, and the market will start frothing all over again, maybe in six months or a year. But some others say the tightening on the funds front can go on for at least two years. "This is a test for all of us. We must focus on profitability at all costs," says Munjal. Unacademy is aiming to make its centres profitable this fiscal. Apart from laying off staff, it has reduced its marketing budget, and has cut unnecessary travel and perks to educators.

As a matter of caution, investors may now start releasing funds only after adding performance milestones, so that progress at every stage can be gauged. For them, the priority continues to be bright and innovative ideas, and how large a market the new business can address. For now, though, uncertainty rules. As an investor in start-ups put it, things will go back to normal, it's just that nobody knows when. ■